

Independent central banks and time inconsistency



In recent decades, many countries have elected to make their central banks independent. When central banks come under government control, monetary policies (interest rates and the money supply) are drawn up by politicians. Under independence these policies are set by a non-political committee of experts. The argument for independence comes from the insight that in achieving the aims of monetary policy, government is often its own worst enemy. Suppose that the government promises to keep inflation low. Such a promise is not credible because the government dislikes unemployment: it will end up boosting demand to reduce unemployment, and therefore pushing up inflation (see [Policy discretion versus rules](#)). Individuals expect inflation to be higher, and anticipate that higher wages will be offset by higher prices, so the demand boost has no effect on

unemployment: the outcome is just higher inflation. In this situation, the aim of low inflation is said to be 'time inconsistent'. Giving power to an independent committee that people believe to be committed to low inflation is one way of resolving the policy conflict.